

doesn't work as expected, how much at fault is the AI and how much is the fault of training data?

Without solving the attribution problem, insurance proposition may not be possible.

As I interviewed several insurance industry experts during the last year, all of them insisted that a good insurance business model demands correct risk profile and history.

Unfortunately, this history doesn't exist yet. The issue is that it won't exist at all if no one ever takes the initiative and makes the flywheel rotate. So the question now is—who will do it first? What might make it work?

While doing it first in the tech industry is quite a norm, in risk-averse sectors like the financial industry, it is just the opposite. So, until that happens, there might be an intermediate alternative.

How about insurers covering not the total risk but only the damage control costs? For example, if something goes wrong with your AI system, and it causes your process to come to a halt, you will incur two financial burdens. One would be on account of revenue loss and the other would be fixing the system. In this case, while the revenue loss can be significant, system fixing costs may be relatively lower, and insurance companies may start by offering only fixing part of the cover.

Insurers may also explore Parametric Insurance to cover some of the known or fixed cost issues.

Aggregators can combine the risks of a cluster of several companies matching specific criteria. They can cover part of those risks themselves and transfer partial risks to the insurers. Either way, it is not a complete deadlock to get this going.

AI insurance is coming, here's why

Implementing an AI solution means you can do things at a much larger scale. If you have been producing x number of widgets per day without the use of AI, you may end up creating 1000x widgets with AI.

This type of massive scale also means when things fail, they would also fail magnanimously. The issues 1000x failures can bring upon a busi-

ness could be outrageous. These would typically not only result in revenue losses but also put a burden on fixing them, making alternate arrangements while these are being repaired, and so on.

This scale is dangerous, and therefore having an AI insurance would make sense. Additionally, with this option in place, it will also make people more responsible for developing and implementing AI solutions. These options would also contribute towards the Responsible AI design and use paradigm.

And more importantly, every human consumer or user would want some level of compensation at some point in time when AI solutions go wrong. They won't accept it if you say AI is at fault. It is a fair expectation to be compensated.

The question is, who will foot the compensation bill?

This question is the biggest reason why I believe AI insurance will be necessary. It may be a fuzzy concept for now but will soon be quite relevant.

Better risk management is the key

Getting AI insurance may be a good idea, but that shouldn't be your objective. Instead, you must focus on a structured approach for development and deployment. By doing it, you can minimise risks to such an extent that it (AI solution) is safe, useful, and under control.

If you follow my three core principles of good problem solving, i.e., doing the right thing, doing it right, and covering all your bases, it will help.

Given that almost everything you would have mitigated or had planned to do so, there would be hardly anything that would qualify as residual risk. Managing residual risk is more like a remaining tail when the entire elephant has passed through the door.

If, however, there is any uncertainty or unknown risk to your solution, risk transfer should be more effortless as you would have completed the required due diligence already.

It is always a good idea to deal with problems and risks in their smallest states. Stich in time saves nine! **EFY**

Anyone who stops learning is old, whether at twenty or eighty.

—Henry Ford

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